

could. Still, we can try to understand the sources of profit and growth in a company, the plans and philosophy of the management, the competitive environment, and the negatives that might alter its prospects. I always try to express my reason for owning a stock in a short, clear statement, such as "Expansion of the hotel and casino business will double the company's earnings in two years." And it controls our sell decisions as well. When the statement is no longer valid, the stock should be sold.

Applying the Scales

To help us determine whether or not a stock is cheap in light of its earnings prospects—or, put another way, what the company's potential is worth in current dollars—my firm, like many institutional managers, uses a dividend discount model. We first input what our analysts think the company's earnings-growth rate will be (since dividends are paid out of earnings). This is an estimate, it is true. About as far as we'll try to predict specific earnings is two years into the future, and even that time frame is difficult. There is a tendency to overestimate probable earnings, because the stocks you buy are the ones you are most optimistic about. The people actively buying a stock are the ones who believe the company is doing great things. Prices are set by optimists. You have to remind yourself of that fact and leave room for disappointments.

Then we have to put into the model a figure representing interest rates—the return we will forgo by owning the stock instead of a bond. If you come up with an earnings-per-share figure for two